

BRIDGESCALE HYBRID CASH + EQUITY ADDENDUM

STATUS — SAMPLE ONLY. v0 DRAFT.

Counsel review status: NOT YET REVIEWED. Equity issuance has tax and securities implications per jurisdiction; counsel review is mandatory before this addendum is used.

Reference structure informed by industry-standard hybrid-engagement addenda; all language is BridgeScale's own.

ATTACHMENT TO SCOPE OF WORK

This **Hybrid Cash + Equity Addendum** ("Addendum") is attached to and forms part of the **Scope of Work** ("SOW") number [SOW-#####], which is itself an addendum to the **Master Service Agreement** ("MSA") number [MSA-#####] between **BridgeScale**, [Company], and [Operator].

By signing this Addendum, the Company and the Operator agree that the compensation mode for the Engagement under SOW [SOW-#####] is **Cash + Equity**, with the cash component governed by the SOW and the equity component governed by this Addendum and the Equity Grant Document referenced below.

Addendum Effective Date: [DATE]

1. CASH COMPONENT

1.1 The cash component of the Operator's compensation under SOW [SOW-#####] is **reduced by** [____]% from the indicative full-cash amount, in consideration for the equity grant set out in Section 2.

1.2 The reduced cash retainer is **USD** [____] / **month** (or **USD** [____] **fixed**, where the SOW is a Sprint).

1.3 The cash component is paid to the Operator in accordance with the SOW §8 (Fees & Payment), through BridgeScale's payment infrastructure under MSA §3.

1.4 The 10% Platform Fee under MSA §3.2 is calculated on the *cash component only*; equity is not platform-fee'd.

2. EQUITY COMPONENT

2.1 The Company grants the Operator equity in the Company on the terms set out in **the Equity Grant Document** referenced in Section 3 below ("Equity Grant").

2.2 **Default Equity Instrument at Launch:** the Founder/Advisor Standard Template ("FAST") published by the Founder Institute (<https://fi.co/fast>). Variations from the FAST default require legal review and BridgeScale

deal-desk approval.

2.3 Indicative Grant Terms (final terms in the Equity Grant Document):

Field	Value
Equity quantum	[____ shares OR ____% on a fully-diluted basis OR ____ basis points]
Equity instrument	☐ FAST advisor agreement ☐ Other (subject to securities-counsel review)
Vesting schedule	[4-year monthly with 1-year cliff – FAST default] OR [accelerated, e.g. 2-year monthly with
Acceleration on change of control	☐ Single-trigger ☐ Double-trigger ☐ None
Vesting commences	[SOW Effective Date / Equity Grant Document Effective Date]
Strike price (if applicable)	[____]
Equity refresh on engagement renewal	☐ Yes, at [____ % per year] ☐ No

2.4 Equity vests according to the schedule in Section 2.3, **conditional on the Operator continuing to perform under the SOW**. Termination of the SOW affects vesting per Section 4 below.

3. EQUITY GRANT DOCUMENT

3.1 The Company will issue, and the Operator will execute, a **separate Equity Grant Document** (typically a FAST advisor agreement and any company-specific share/option grant) within **[14 calendar days]** of this Addendum's Effective Date.

3.2 The Equity Grant Document is a separate legal instrument between the Company and the Operator. BridgeScale is not a party to the Equity Grant Document and is not responsible for its issuance, registration, or compliance.

3.3 The Operator acknowledges that: (a) equity grants may have tax implications in the Operator's country of residence; (b) the Operator is responsible for filing any required tax elections (such as a US Section 83(b) election) within applicable deadlines; (c) BridgeScale has not provided tax advice in connection with this Addendum.

3.4 The Company will provide the Operator with the necessary documentation (cap table line, grant certificate, FAST agreement) within [30 calendar days] of the Equity Grant Document's effective date.

4. EFFECT OF SOW TERMINATION ON EQUITY

4.1 If the SOW is terminated by either Party: (a) **Vested equity** as of the termination date remains the property of the Operator; (b) **Unvested equity** is forfeited as of the termination date, except as Section 4.2 may apply.

4.2 If the Company terminates the SOW for convenience (i.e., not for cause under SOW §11 / MSA §8.3), the Operator's equity vesting accelerates by **[3 months / 6 months / not at all]**, as specified in the Equity Grant Document.

4.3 If the Operator terminates the SOW for the Company's material breach, the same acceleration in Section 4.2 applies.

5. TAX, SECURITIES, AND DISCLOSURES

5.1 The Company represents that it has the authority to issue the equity granted under this Addendum.

5.2 The Operator represents that the Operator is, or qualifies as, an "accredited investor" or equivalent under the securities laws of the Operator's country of residence, OR that an exemption applies that permits the equity grant.

5.3 The Equity Grant is made in private placement, not as part of a registered public offering, and is subject to applicable transfer restrictions.

5.4 BridgeScale makes no representation about the value or future value of the equity granted.

6. CONFIRMATION

The Company and the Operator confirm that this Addendum, together with the SOW and the MSA and the Equity Grant Document, constitutes the complete commercial structure for the Engagement.

Company	Operator	BridgeScale (acknowledgement)	
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Signed by: _____	Signed by: _____	Acknowledged by: _____	
Title: _____	Title: _____	Title: _____	
Date: _____	Date: _____	Date: _____	

DRAFTER NOTES — REMOVE BEFORE LEGAL REVIEW

- **\$1.1 Cash reduction percentage** — placeholder. Typical hybrid arrangements reduce cash by 30–50%. Founder + Finance to confirm guidance bands.
- **\$2.2 FAST default** — sourced from Founder Institute's published FAST template. Counsel: confirm FAST is acceptable as a starting instrument across India / EU / US, and whether company-specific modifications are needed (e.g., for Indian companies on FEMA terms).
- **\$2.3 Vesting schedule** — FAST default is 4-year monthly with 1-year cliff. For Sprint engagements (30–60 days), a different schedule is needed; suggested 2-year monthly with 6-month cliff. Counsel to advise.
- **\$2.3 Acceleration on change of control** — placeholder choice. Counsel: confirm single-trigger vs. double-trigger language is enforceable in target jurisdictions.
- **\$3.1 14-day issuance window** — placeholder. May be longer if Company needs board approval.
- **\$3.3 Section 83(b) election** — US-specific. Counsel to confirm whether this caveat needs jurisdiction variants for non-US Operators.

- **§4 Effect of termination on equity** — vesting acceleration on termination-for-convenience is increasingly standard but not universal. Founder + Legal to confirm policy.
- **§5.2 Accredited-investor representation** — relevant for US issuance; counterparts exist in other jurisdictions. Counsel: confirm what equivalent representation works in EU / UK / India.
- **Platform fee on equity** — §1.4 says the 10% platform fee does not apply to equity. Counsel: confirm consistency with MSA §3.2 and that no implied platform-fee-on-equity claim survives.
- **Equity grant outside the Platform** — the Equity Grant Document is bilateral between Company and Operator. BridgeScale is not party. Counsel: confirm this does not violate non-circumvention under MSA §6.2.
- **Currency of equity quantum** — when Operator is non-US and Company is US-incorporated (or vice versa), the share/option grant is in the Company's domicile currency. Document FX implications if any.

End of Hybrid Cash + Equity Addendum placeholder v0 DRAFT.